

stages. However, considering how the cryptocurrency has gone beyond the investors' expectations, it would not be entirely surprising if a regulatory decision sends the Bitcoin value to its all-time low.

## FACTORS THAT INFLUENCE BITCOIN'S MARKET VALUE

Technically speaking, a number of factors affect the market value of a single Bitcoin. Besides, BTC has been designed to be highly volatile. It relies so much on demand that a sudden spike in acceptance will skyrocket the prices. For instance, quite a few factors caused Bitcoin's growth from \$8,000 to \$48,000 in a year. First, a number of companies like MicroStrategy Inc. and Square Inc. decided to replace cash using Bitcoin for their corporate treasury needs. In addition, the ongoing pandemic has provided a newfound perspective to look at the traditional asset forms.

From this viewpoint, many investors looked at Bitcoin as a hedge, which will endure the problems that affect an orthodox economy. This narrative also pushed Bitcoin to the 'digital gold' status, claiming that investing in Bitcoin is a great way to protect your assets from inflation. While these factors sound scientific for the most part, the second part of the story is not so much. In that sector, the value of Bitcoin rested upon a cult following the cryptocurrency had created prior. When Elon Musk and Mark Cuban jumped into the Cryptoassets game, thousands acted in seconds.

A couple of tweets and a change in the Twitter bio of Elon Musk could easily cause a noticeable difference in the value of Bitcoin. For instance, when the said CEO decided to add #bitcoin to his Twitter bio, the price of BTC went up by a whopping 15%. However, on February 22, 2021, he decided to tweet that the value of BTC and ETH seem high. As you could guess, this caused the value to fall by around 8.6%. It needs to be noted that the tweet in question did not stop Bitcoin from attaining its all-time-high, a couple of days later. We don't mean that Elon Musk is the sole reason be-

hind the current boom and the mini-crash that Bitcoin has witnessed, but Musk sure is capable of doing that in a couple of tweets. This structure, which bears more resemblance to a religion than a stock market, makes us ask another question.

## IS BITCOIN A BUBBLE?

Bears have been saying for months that Bitcoin is a bubble, actually bigger than the one seen in 2017. These veteran investors do not simply disregard the current demand for the cryptocurrency but prefer to follow a broader perspective. According to these market analysts, Bitcoin's reliance on the cult-like following puts it against the multiple problems of volatility. As mentioned earlier, a decision from a

that can endure inflation. These are just a few of the many concerns that Bitcoin bears have in their mind. On the other hand, Bitcoin bulls are optimistic that the value of the coin would easily surpass \$250,000 in the next three years. They also rely on a couple of comments. JPMorgan, the famous investment bank, was quoted saying in January that Bitcoin could see a price boost to nearly \$150,000 if it retains the position of the 'digital gold.' Even without understanding the conditional nature of that statement, investors decided to invest in Bitcoin, sending the prices even further.

If we look at the numbers and patterns in light of what happened a few years back, we could easily say it is another Bitcoin bubble.



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participating company or a regulator can crash the Bitcoin market in minutes. For example, imagine a scenario where central banks across the countries develop their digital coins and practically push Bitcoin from space. Or think of what could happen if a country decides to regulate the use of Bitcoin — or, worse, ban BTC.

Regardless of the size, these decisions will impact the elite status Bitcoin enjoys in terms of value. It would also affect anyone who considers Bitcoin as a viable investment

## CLOSING THOUGHTS

The best and worst thing about Bitcoin and other cryptocurrencies is that you cannot predict their value or performance of these digital currencies based on traditional techniques. This puts investors in a difficult position as well. On the one hand, there is a possibility of this crypto boom to...err... go boom... in the coming months, sending Bitcoin values rising like never before.

At the time of writing, a single BTC is equivalent to \$46,484.30, which is not a small figure. However, the decentralized currency has to rely on a multitude of factors to maintain this figure in the future. It is safe to say that Bitcoin is not yet the 'digital gold' that Bitcoin bulls would have you to believe. It still bears all the inherent problems of market volatility to begin with. There may very well be a day when BTC surpasses the \$100,000 mark, but the graph will not be stable, and people will lose a fortune along the way! 